



Partnership

A partnership is a legal structure in which two or more individuals or entities own and operate a business together. In consulting firms, partnerships can be formed between multiple consultants or professionals who pool their resources, expertise, and networks.

There are two main types of partnerships:

 General Partnership	 Limited Partnership
 All partners share equal responsibility for the business's debts and liabilities  Simplicity  Flexibility  Lacks personal liability protection	 One or more general partners who manage the business and are personally liable for its obligations  Partners who contribute capital  Have limited liability  Not involved in day-to-day operations.

Partnerships can be advantageous for consulting firms; they allow the sharing of resources, expertise, and workload. However, it's crucial to have a comprehensive partnership agreement that outlines the roles, responsibilities, decision-making processes, and profit/loss distribution among the partners.